



FINANCIALS

Alpha Hours

Unit economics, per-campus P&L, Year 1 by session in three cases, lanes, launch budget, cash timing, sensitivities, the national build and the feeder. One model behind every number.

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DATE

August 27, 2026

STATUS

Draft for review

AT A GLANCE

\$35.4M

Year 1 revenue on the plan case, each campus at 60 / 75 / 90 / 100 percent by its own session count.

\$28.2M

Year 1 net after the central team. Capacity \$39.9M, floor \$8.6M.

\$20,325

contribution per child per year before guides, \$19,075 after.

\$141K

New York launch budget, covered by Session 2 deposits alone.

15 students

break-even per campus. Maximum downside at any site is seven weeks of payroll.

\$268M

full-network revenue at capacity, about \$216M net, 1.7 percent of the serviceable market.

Summary

Alpha Hours launches in Session 2, October 19 to December 18, 2026, in New York only: 180 Maiden Lane (100 seats) and 156 William Street (30 seats). Session 3 (January 4, 2027) adds Greenwich (Armonk, 80) and both Boston campuses (40 and 100). Session 4 (February 24, 2027) adds Chicago at its expanded 517 seats and the three Florida campuses, Miami (150), Palm Beach (60) and Miami Beach (50). Session 5 runs that nine-campus footprint. The national launch, every remaining campus, is Session 1 of Fall 2027. Every campus is priced at \$4,500 per seven-week session, five sessions a year. The plan is sized on families who will never enroll at Alpha: seven in ten seats on the modeled mix, and the most durable seven in ten, because nothing about their reason for not enrolling changes year to year. Conversions to full Alpha are upside and nothing in the plan depends on them. Every figure in this document comes from one model, the same one behind the BrainLift and the business plan, and the assumptions that Session 2 exists to replace are listed at the end.

Headline	Figure
Launch, Session 2 (New York only)	130 seats, 520 enrolled, \$11.7M revenue run rate, \$9.6M site profit
Session 3 footprint (New York, Greenwich, Boston)	350 seats, 1,400 enrolled, \$31.5M run rate, \$25.8M site profit
Full pilot footprint, Sessions 4 and 5 (plus Chicago and Florida)	1,127 seats, 4,508 enrolled, \$101.4M run rate, \$84.3M site profit, about \$83.5M net
Year 1 plan (Sessions 2 to 5, each campus at 60 / 75 / 90 / 100 percent by its own session count)	\$35.4M revenue, \$29.0M site profit, \$28.2M net
Year 1 capacity	\$49.2M revenue, \$39.9M net
Year 1 floor (25 percent fill all year)	\$12.3M revenue, \$8.6M net
One-time launch budget (New York)	About \$141K, covered by Session 2 deposits
Break-even per campus	15 enrolled students, about 4 per cohort
Full network at capacity (Session 1, Fall 2027, about 40 campuses, K-8)	11,908 enrolled, \$267.9M revenue, about \$216M net
Year 3 (network, with evening block and break weeks)	About \$356M revenue, about \$292M net
Revenue from families who will never enroll (Stay lane, 70 percent of the mix)	\$71.0M a year at full pilot capacity
Upside: feeder at 8 percent conversion on the full pilot base	361 full-Alpha enrollments, about \$87M lifetime tuition, on top of the P&L

Assumptions

Price. \$4,500 per session in premium markets, \$3,500 standard. Every pilot campus is premium. Current Alpha families pay 5 percent less (\$4,275). From the sixth session a seat reprices to \$5,000 (\$4,000 standard) unless the family has an Alpha application on file. A cohort that closes a session with a waitlist reprices by \$500 the next session. Break weeks are \$4,500 a week. All figures below are at the year-one list price; the continuation rate, waitlist repricing, and the current-family discount are not modeled and net out to a small positive.

Capacity. Room capacity is seats filled at one time. Four cohorts share every room (Monday/Wednesday, Tuesday/Thursday, Saturday morning, Saturday afternoon), so enrolled =

seats x 4. The middle and high school evening block adds two cohorts, enrolled = seats x 6, where it runs.

Calendar. Five seven-week sessions a year. Session 2: October 19 to December 18, 2026. Session 3: January 4 to February 19, 2027. Session 4: February 24 to April 16, 2027. Session 5: April 26 to June 18, 2027. Year 1 is Sessions 2 through 5, four sessions. Break weeks: April 19 to 23, 2027 in Year 1, two a year from Year 2. Session 1 of Fall 2027 opens with the 2027-28 school year in September.

Rollout. Session 2: New York (Maiden Lane 100, William Street 30). Session 3: plus Greenwich (80), Boston A (40), Boston B (100). Session 4: plus Chicago (517, its expansion having landed in January), Miami (150), Palm Beach (60), Miami Beach (50). Session 5: the same nine campuses. Session 1, Fall 2027: Austin (300) and every remaining campus, about 30 at 50 seats each.

Cost model. Per student per session \$435 (\$2,175 a year): Timeback \$150, the extrinsic motivation model (Alpha bucks redeemed in the Emporium, inventory at cost) \$40, supplies \$15, snacks \$30, the child's share of the AlphaTest Showcase \$5, payment processing 3 percent (\$135), local marketing \$60. Guides: one per 10 seats, part-time at \$50,000, hired to sold seats, the same guide serving all four cohorts, so a campus carries seats divided by 10 guides. Per-campus fixed cost \$188,000 a year: Lead Guide \$75,000, Campus Coordinator \$50,000 (a 50 percent role), facility \$45,000, insurance \$8,000, AlphaTest Showcase events \$10,000 (\$2,000 per campus per session for four cohort showcases). Fixed cost is charged only for the sessions a campus is open. William Street shares New York's coordinator, so its fixed cost is \$138,000. Central team \$700,000 base (Head \$400,000, Operations and Admin VP \$200,000, \$100,000 operations support), about \$875,000 fully loaded, charged in full against Year 1.

Devices. The building's own laptops are free after 3:30. A loaner pool covering 20 percent of seats is in the launch budget for campuses that run short.

Unit economics

Per student

Line	Per session	Per year (5 sessions)
Session fee	\$4,500	\$22,500
Timeback	\$150	\$750
Extrinsic motivation model (Alpha bucks, Emporium inventory at cost)	\$40	\$200
Supplies	\$15	\$75
Snacks (about \$2 a weekday block, \$4 a Saturday block)	\$30	\$150
AlphaTest Showcase, per child (printed mastery map, certificate)	\$5	\$25
Payment processing (3 percent)	\$135	\$675
Local marketing	\$60	\$300
Variable cost	\$435	\$2,175
Contribution before guides	\$4,065	\$20,325
Guide cost at even fill (one guide per 10 seats serves 40 enrolled)	\$250	\$1,250
Contribution after guides	\$3,815	\$19,075

At \$4,500 a session and 28 program hours, the price is about \$161 an hour, just under elite one-to-one tutors at \$200 to \$300, who cover one subject. A full year is roughly a third of full Alpha tuition.

Per campus

Revenue = seats x 4 x \$4,500 x 5. Cost = enrolled x \$2,175 + (seats / 10) guides x \$50,000 + fixed. Margin is about 80 percent at a 40-seat room and 84 percent at 517 seats, because the fixed team spreads over more revenue. Annual figures at capacity.

Campus	Opens	Seats	Enrolled	Guides	Revenue a year	Variable	Guides	F
New York, 180 Maiden Lane	Session 2	100	400	10	\$9.00M	\$0.87M	\$0.50M	\$0
New York, 156 William Street	Session 2	30	120	3	\$2.70M	\$0.26M	\$0.15M	\$0
Greenwich (Armonk)	Session 3	80	320	8	\$7.20M	\$0.70M	\$0.40M	\$0
Boston A	Session 3	40	160	4	\$3.60M	\$0.35M	\$0.20M	\$0
Boston B	Session 3	100	400	10	\$9.00M	\$0.87M	\$0.50M	\$0
Chicago	Session 4	517	2,068	52	\$46.53M	\$4.50M	\$2.60M	\$0
Miami	Session 4	150	600	15	\$13.50M	\$1.30M	\$0.75M	\$0
Palm Beach	Session 4	60	240	6	\$5.40M	\$0.52M	\$0.30M	\$0
Miami Beach	Session 4	50	200	5	\$4.50M	\$0.43M	\$0.25M	\$0
Launch total, Session 2 (New York)		130	520	13	\$11.70M	\$1.13M	\$0.65M	\$0
Session 3 total (plus Greenwich, Boston)		350	1,400	35	\$31.50M	\$3.04M	\$1.75M	\$0
Full pilot total, Sessions 4 and 5		1,127	4,508	113	\$101.43M	\$9.80M	\$5.65M	\$1

New York alone: 130 seats, 520 enrolled, \$11.7M revenue, \$9.6M site profit. Less the central team, the full pilot run rate nets about \$83.5M a year.

Pilot P&L by session, plan case

The plan is the number the Head is held to. Each campus follows the same ramp from its own first session: 60 percent fill in its first session, 75 percent in its second, 90 percent in its third, full from its fourth. So New York is at 100 percent by Session 5, Greenwich and Boston at 90 percent, Chicago and Florida at 75 percent. Guides are hired to sold seats, so guide cost moves with fill. Fixed cost is charged per open campus. Central team is charged in full against the year.

Line	Session 2	Session 3	Session 4	Session 5	Year 1
Campuses open	2	5	9	9	
Enrolled	312	918	2,993	3,643	
Revenue	\$1.40M	\$4.13M	\$13.47M	\$16.39M	\$35.40M
Variable cost (Timeback, motivation, supplies, snacks, showcase, processing, marketing)	\$0.14M	\$0.40M	\$1.30M	\$1.58M	\$3.42M
Guides on payroll	8	25	77	94	
Guide cost	\$0.08M	\$0.25M	\$0.77M	\$0.94M	\$2.04M
Campus fixed cost	\$0.07M	\$0.18M	\$0.33M	\$0.33M	\$0.90M
Site profit	\$1.12M	\$3.30M	\$11.07M	\$13.54M	\$29.04M
Site margin	80%	80%	82%	83%	82%
Central team					\$0.88M
Net					\$28.2M

Year 1, three cases

Case	Revenue	Site profit	Net after central team
Capacity (100 percent at every open campus)	\$49.2M	\$40.8M	\$39.9M
Plan (60 / 75 / 90 / 100 by each campus's own session count)	\$35.4M	\$29.0M	\$28.2M
Floor (25 percent all year)	\$12.3M	\$9.5M	\$8.6M

Capacity revenue by session: \$2.34M in Session 2, \$6.30M in Session 3, \$20.29M in each of Sessions 4 and 5. The floor case is every cohort at 25 percent all year, roughly where the cohort floor would start closing cohorts, and it still nets about \$8.6M on nine campuses. The exit run rate matters more than the Year 1 total: leaving Session 5 at plan, the pilot is running at \$16.4M a session, \$82M a year, before the national launch.

Year 1 additions

Addition	When	Basis	Revenue at capacity	Inside Year 1
Break week	April 19 to 23, 2027	1,127 seats x \$4,500, one seat per child	\$5.1M, about \$4.6M profit	\$5.1M
Evening block, Maiden Lane and Greenwich	Session 4, February 24, 2027	180 seats x 2 cohorts x \$4,500 a session	\$8.1M a year (360 enrolled)	\$3.2M (two sessions)
Total additions				\$8.3M at capacity

Year 1 pilot with additions: about \$57M revenue at capacity, about \$44M at plan. From Year 2, two break weeks a year on the pilot footprint are \$10.1M, and the evening block at every pilot campus lifts the ceiling by 2,254 enrolled and \$50.7M.

Revenue by lane

Revenue per seat is the same in every lane. The lane changes tenure and what the family is worth beyond the session fee. The plan is sized on the Stay lane, families who will never enroll at Alpha; the other two prospective lanes are upside. The mix is a modeled assumption Session 2 replaces. Figures at full pilot capacity, 4,508 enrolled.

Lane	Share	Families	Session revenue a year	Value beyond the session fee
Stay (never enrolling, the business)	70%	3,156	\$71.0M	Three years at year-one then continuation rates: \$72,500 a family, before break weeks; five years \$122,500
Considering (upside)	15%	676	\$15.2M	Two sessions (\$9,000) plus 20 percent conversion at \$240,000 lifetime tuition: \$57,000 expected, non-converters move to Stay
Path to yes (upside)	5%	225	\$5.1M	Three sessions (\$13,500) plus a modeled 20 percent admit rate at \$240,000: \$61,500 expected
Current Alpha families	10%	451	\$9.6M (after 5 percent discount)	Retention of the family already paying full tuition

Stay tenure is the number that compounds. At 70 percent re-enrollment session over session, the average Stay family stays about 3.3 sessions; at 85 percent, about 6.7. Every ten points of re-enrollment on the Stay lane is worth more than doubling the conversion rate.

Central team and launch budget

Central team, annual: Head of Alpha Hours \$400,000, Operations and Admin VP \$200,000 (remote), operations support \$100,000, about \$875,000 fully loaded. Every other role is inside campus fixed cost or hired to sold seats.

One-time launch budget, New York, pre-Session 2:

Item	Basis	Cost
Guide training cohort	13 guides and 2 Lead Guides, two paid weeks before launch at the part-time rate	\$29K
State exemption filing and legal	New York	\$15K
Launch marketing	New York	\$40K
Loaner device pool	20 percent of 130 seats at \$600	\$16K
Insurance deposits	Two sites	\$8K
Emporium opening inventory	\$25 a seat	\$3K
Registration and payments stack	Stripe, HubSpot, roster tooling	\$30K
Total		About \$141K

Session 2 deposits alone (\$500 on 312 plan enrollments, \$156K) cover it. Each later wave is sized the same way, about \$60K to \$75K a site plus \$40K of launch marketing per market, and is paid from the sessions before it: Greenwich and Boston from Session 2 revenue, Chicago and Florida from Session 3, the national launch from Sessions 4 and 5. Connecticut and Massachusetts exemption filings go in with New York's in September; Illinois and Florida in November.

Cash timing

Enrollment closes before each session starts. The \$500 deposit lands at sign-up and the balance is due before day one, so each session's revenue is collected before its costs are paid. Guides are paid across the seven weeks, Timeback is billed per session, fixed cost runs monthly. In the plan case Session 2 collects \$1.4M before October 19 against about \$0.3M of cost paid out through December 18. The program never needs working capital from the school, and every campus is cash-positive from its first session at anything above break-even.

Downside, floors, and sensitivities

Contribution per enrolled student is \$20,325 a year before guides. Minimum operating cost per campus (fixed plus the two-adult minimum) is about \$288K, so break-even is 15 enrolled students per campus, about 4 per cohort, under 4 percent of full capacity at the largest sites. Guides are hired to sold seats, so site margin holds above 78 percent at every fill level above break-even, and the maximum downside at any site is seven weeks of payroll: no capex, no lease, part-time staff, one-session enrollment.

Two mechanical floors. Cohort floor: a cohort that has not sold 10 seats two weeks before session start (October 5, 2026 for Session 2) does not open, and its families roll into another cohort. Site floor: a campus below break-even at week 3 of its first session (the week of November 2 for New York) closes at session end.

Fill sensitivity, full pilot footprint, annual

Fill	Enrolled	Revenue	Site profit	Net	Margin
25%	1,127	\$25.4M	\$19.7M	\$18.8M	78%
50%	2,254	\$50.7M	\$41.3M	\$40.4M	81%
75%	3,381	\$76.1M	\$62.7M	\$61.8M	82%
100%	4,508	\$101.4M	\$84.3M	\$83.5M	83%

Price sensitivity, full pilot footprint at capacity, annual

Session price	Revenue	Site profit
\$3,500	\$78.9M	\$62.5M
\$4,000	\$90.2M	\$73.4M
\$4,500	\$101.4M	\$84.3M
\$5,000	\$112.7M	\$95.3M
\$5,500	\$124.0M	\$106.2M

Every \$500 on the session price is \$10.9M a year on the full pilot at capacity, which is why waitlist repricing is mechanical. The price is already tested at \$4,500: 174 paid Alpha Summer registrations at \$4,500 a week, one price objection.

The national build

Four steps, one session apart through the pilot, then the national launch with the 2027–28 school year. Each step is released by the week–3 checkpoint of the session before it. Capacity figures, K–8 blocks, premium price.

Step	Session	Campuses added	Seats added	Enrolled added	Run rate added	Run rate
Launch	Session 2, October 19, 2026	New York (2)	130	520	\$11.7M	\$11.7M
Step 2	Session 3, January 4, 2027	Greenwich, Boston (2)	220	880	\$19.8M	\$31.5M
Step 3	Session 4, February 24, 2027	Chicago (517), Miami, Palm Beach, Miami Beach	777	3,108	\$69.9M	\$101.4M
Hold	Session 5, April 26, 2027	None: nine campuses run a full session with no new openings	0	0		\$101.4M
National	Session 1, Fall 2027	Austin (300) and every remaining campus, about 30 at 50 seats each	1,850	7,400	\$166.5M	\$267.9M

Full network at capacity: about 40 campuses, 2,977 seats, 11,908 enrolled, \$267.9M revenue, about \$220M site profit, about \$216M net after a central team that grows to about \$4M.

Three-year view

Year	K-8 sessions	Evening block	Break weeks	Revenue	Net (about)
Year 1, SY26-27, pilot plan to capacity	\$35.4M to \$49.2M	\$3.2M at capacity	\$5.1M at capacity	\$35M to \$57M	\$28M to \$47M
Year 2, SY27-28, network at 75 percent	\$201M	\$54M (40 percent of its ceiling)	\$16M (60 percent)	About \$271M	About \$221M
Year 3, SY28-29, network at 90 percent	\$241M	\$94M (70 percent of its ceiling)	\$21M (80 percent)	About \$356M	About \$292M

Year 2 and Year 3 hold the campus count at 40. Alpha adds about 20 campuses a year, each one a 50-seat room worth \$4.5M of run rate at capacity, which is upside to this table.

The feeder (upside)

One conversion to full Alpha is worth \$160,000 to \$325,000 in lifetime tuition, \$240,000 at the midpoint. Modeled conversion is 4 to 8 percent of all enrolled families, most of it from the Considering and Path to yes lanes, replaced by the measured number after Session 2. Nothing in the plan above depends on it. The program clears its P&L at zero conversions, so the acquisition cost per full enrollment is negative: the family pays \$4,500 a session while it decides, against a private-school industry median of \$3,677 in marketing spend per enrolled student.

Base	4 percent	8 percent	12 percent
Full pilot, 4,508 enrolled	180 enrollments, \$43M	361, \$87M	541, \$130M
Full network, 11,908 enrolled	476, \$114M	953, \$229M	1,429, \$343M

Market size

TAM about \$40B a year: what US families already spend on tutoring (\$18.9B) and after-school (\$21.0B), before growth. SAM about \$16B: that spend in Alpha's metros, roughly 40 percent of premium households. SOM \$268M: the full network at capacity on K-8 blocks, 1.7 percent of SAM. The constraint is buildings, not demand.

What Session 2 replaces

These are the modeled assumptions, in order of how much they move the numbers. Each one is measured in New York in Session 2 and reported by campus, cohort, lane, and market at the week-3 checkpoint and at session end, then again at every step of the rollout.

1. Fill. The plan says 60 percent in a campus's first session. Every dollar in this document scales with it.
2. Re-enrollment. The plan needs 70 percent session over session; the Stay lane, and so the business, rests on it.
3. Lane mix. Modeled at 70 / 15 / 5 / 10. The revenue does not change with it; tenure and the upside do.
4. Price ceiling. Waitlist depth at \$4,500 says how far the repricing rule can go.
5. Conversion. Modeled at 4 to 8 percent of all enrolled. Upside only; nothing in the P&L depends on it.
6. Guide ratio and cost. One per 10 seats at \$50,000 part-time. The training program and the first payroll confirm it.
7. The per-child lines. Motivation model \$40, snacks \$30, showcase \$5 plus \$2,000 a campus per session. Small, and measured against re-enrollment, because they are the lines that make children want to come back.

Alpha’s learning-speed and test-score figures cited throughout are Alpha’s own internal data and are not independently audited.